Meridian Gulf Research
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Saudi Macroeconomic Review and Vision 2030 Progress

Sector	**Macroeconomics**
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Growth

Real gross domestic product grew 4.5 percent in 2025 according to the General Authority for Statistics, with oil activities contributing growth of 5.7 percent, non-oil activities 4.9 percent and government activities 0.9 percent. Gross domestic product at current prices reached SAR 4,789 billion. Fourth quarter 2025 growth was 5.0 percent year on year. Unemployment stood at 7.2 percent in the fourth quarter of 2025.

Economic diversification

Non-oil activity now represents approximately 50 to 55 percent of the economy against a Vision 2030 target of 65 percent. Progress toward that target is the central metric for assessing diversification, and it remains the key structural driver of demand across banking, consumer, healthcare and infrastructure sectors.

Public Investment Fund

The Public Investment Fund reported assets under management of SAR 4.54 trillion, approximately USD 1.21 trillion, in its audited 2025 annual report, up from SAR 4.32 trillion in 2024. Net profit rose 152 percent to SAR 65.1 billion. The fund targets SAR 10 trillion in assets under management by 2030. It invested more than USD 199 billion in new projects between 2021 and 2025 and reports contributing more than USD 243 billion to non-oil gross domestic product. A 2026 to 2030 strategy was approved in April 2026. Some external trackers publish materially lower asset figures in a range of USD 925 billion to USD 1.15 trillion using different consolidation methodologies.

Giga-projects

Major development programmes including NEOM, the Red Sea Project, Qiddiya, Diriyah, Roshn and New Murabba continue to absorb capital and generate financing demand across the banking sector. This activity is the principal source of large corporate credit growth and a structural exposure for the larger lenders.

Fiscal position

Sovereign credit ratings stand at Aa3, A+ and A+. The fiscal deficit is running at approximately 4 to 5 percent of gross domestic product. The fiscal break-even oil price was approximately USD 94 in 2025 and approximately USD 88 in 2026, both above prevailing spot levels, which has thinned the fiscal cushion and increased sensitivity to oil price movements.

Oil market backdrop

OPEC+ has been unwinding 2.2 million barrels per day of voluntary production cuts through 2026, with Saudi Arabia pivoting toward defending market share. Brent was volatile during 2026, trading near USD 82 in January, falling to the low seventies by March, spiking briefly to approximately USD 120 following a strike on Iran on 28 February before easing to approximately USD 92 by April. Forward estimates diverge widely, with some houses forecasting the mid eighties for the third quarter and high seventies at year end, while more bearish base cases sit in the USD 55 to 60 range.